



Mortgage-Backed Securities (MBS)

By: Alessandro Sanchez, Caroline Cherekos, Joseph Colecchia and Alejandro Lazo-Pacheco



What are MBS?

- Securities backed by pools of residential mortgage loans
- Process:
 - Lenders birth mortgages,
 - Sell them to aggregator or GSE
 - Loans are pooled into a trust



Introduction

- Mortgage-backed securities (MBS) play a key role in modern money and capital markets by transforming individual mortgages into tradable investments.
- They increase liquidity, expand lending, and connect the housing market to investors.
- Their structure can also create risk, as seen during the 2008 financial crisis.

Research Question:

How do MBS structures contribute to both market efficiency and financial risk?

Why This Matters:

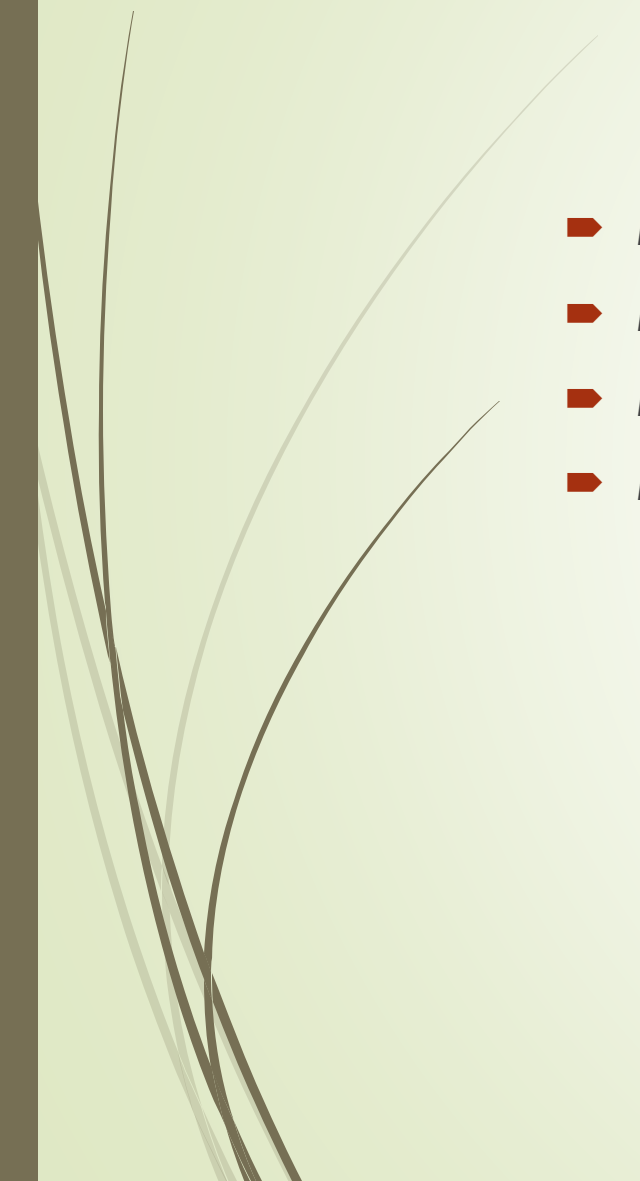
- MBS continue to impact interest rates, housing affordability, and investment decisions.
- Affects banks, investors, policymakers, and homeowners.

Overview of Paper:

- Background and structure of MBS
- Analysis of MBS during financial crisis
- Discussion of impacts and reforms

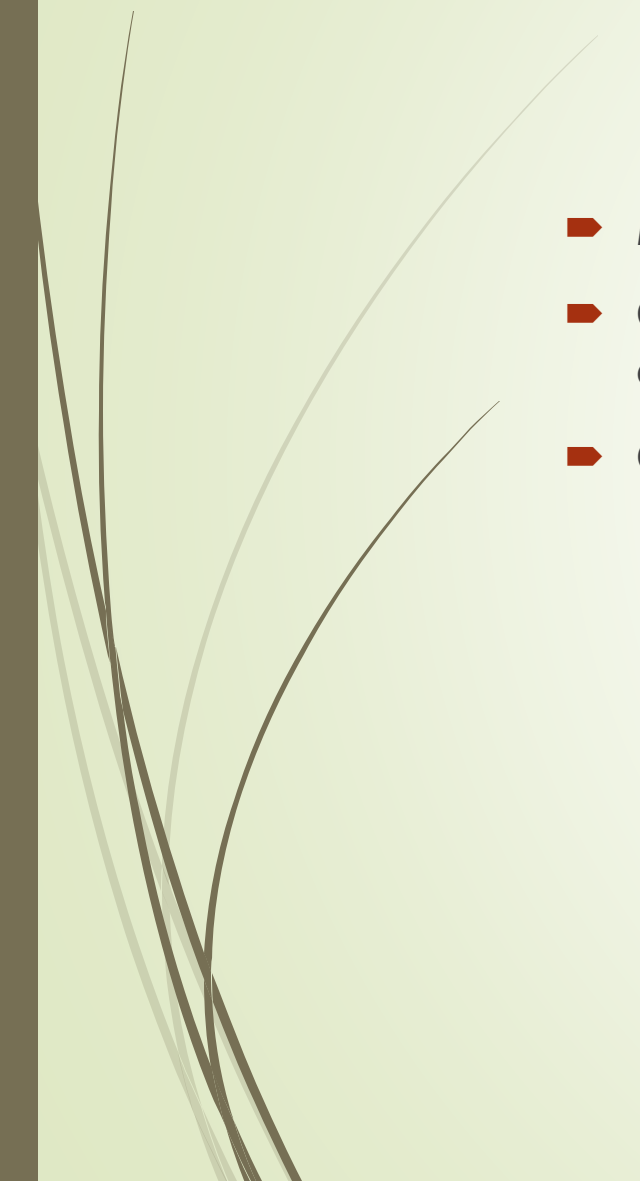


Background and Theory

- MBS market established in the 1970s
 - Mortgages previously were held on bank's balance sheets
 - MBSs pool similar mortgages and selling the cash flows
 - MBS main purpose is for liquidity creation
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Analysis



- MBSs can be pre-paid at par when interest rates drop
- CPR plummeted in 2008 due to house prices and poor economic conditions
- Option Adjusted Spread values assess MBS valuation



Discussion

- Drops in the MBS market caused systematic collapse of other markets
- Caused people to lose both their jobs and homes
- After crisis MBSs would have a hard recovery
- Due to investor hesitance toward MBSs
- Other securities could see faster recover as hesitance for MBSs stays

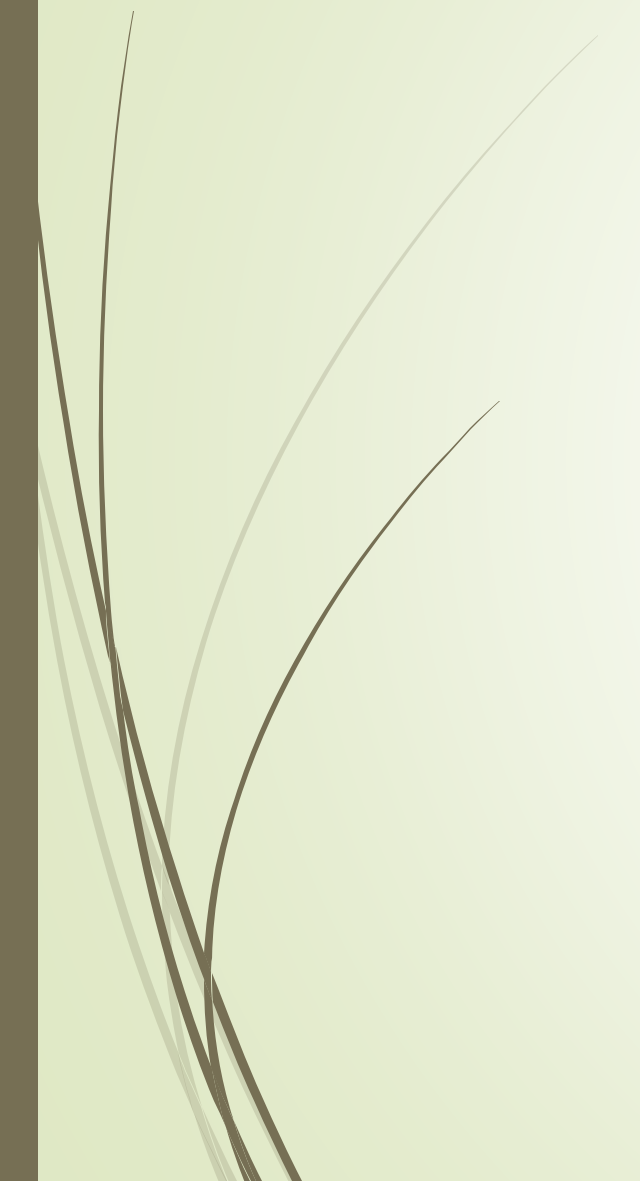


Conclusion

- 2008 crash collapsed the nonagency market
- Post-2008 Government-backed Agency MBS now represent nearly all of the 65% of securitized mortgage debt
- An \$11 trillion market uses TBA contracts to consolidate over a million individual pools into a highly liquid, globally traded asset
- Investors manage unique negative convexity and borrower refinancing options through complex Option-Adjusted Spread (OAS) metrics
- Securitization enables the 30-year fixed-rate mortgage and serves as a primary channel for Federal Reserve monetary policy



Thank You!





Citations



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